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FX RATES UNITED STATES

Why we've changed our Fed and ECB calls

After hawkish decisions this month, we now expect a rate hike from both the European Central Bank and Federal Reserve in December. We now also expect the US 10-year yield to end the year above 5%



Fed Chair Kevin Warsh and ECB President Christine Lagarde. We now expect rate hikes from both central banks in December

We've updated our central bank views

As central bank watchers, we know that predicting what central banks will do is not always the same as what they should do. Wednesday's Fed meeting and last week's ECB meeting have shown us that both central banks are not likely to follow the very dovish path we anticipated. This is why we have changed our calls for the Fed and the ECB, now expecting them both to hike rates one more time before year-end.

In the past, students of monetary policy learnt that it is almost always the Fed leading new cycles of monetary easing or tightening. As a good rule of thumb, Europe, whether via the ECB or, previously, the Bundesbank, would typically follow three to six months later. Perhaps we can blame globalisation, more integrated economies and financial markets or simply the same exogenous shocks, but whatever the reason, this time around presents one of those rare occasions when the ECB is actually leading the Fed.

For the next few months, both central banks seem set to move in tandem. This comes as no surprise, given that both central banks are facing the same dilemma: a supply-side shock

driven by surging energy prices that has so far produced only limited knock-on effects across the broader economy, set against still-fresh memories of the 2022 inflation surge and delayed central bank responses. At the same time, both the US and eurozone economies show an almost unexpected resilience, though to different degrees.

The much longer-lasting war in the Middle East has not only pushed energy prices to new highs, but also increased the risk that inflation could spread more broadly in the economy. This is why we now expect the Fed and the ECB to hike once more, in order to prevent these knock-on effects from materialising.

If energy prices remain higher for even longer, i.e., into 2027, and/or these knock-on effects materialise faster, both central banks could be forced to hike further. However, this is not our base case scenario, even after our forecast revisions. Our more dovish take, based on a reopening of the Strait of Hormuz before year-end and the fact that firms will not be able to pass through higher costs to consumers, still holds.

Our updated central bank forecasts

	Spot (18 Sep)	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F	2Q28F	3Q28F	4Q28F
Central bank rates (%)											
US (Upper bound)	4.00	4.00	4.25	4.25	4.25	4.25	4.00	3.75	3.50	3.50	3.50
Eurozone (deposit rate)	2.50	2.50	2.75	2.75	2.75	2.75	2.50	2.50	2.50	2.50	2.50
UK (Bank Rate)	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.25	3.25	3.25	3.25
10-year bond yields (%)											
US	4.95	5.00	5.10	4.90	4.75	4.60	4.50	4.50	4.50	4.50	4.50
Germany	3.50	3.50	3.40	3.30	3.25	3.10	3.10	3.10	3.10	3.20	3.20
UK	5.26	5.20	5.30	5.20	4.80	4.60	4.55	4.50	4.50	4.50	4.50
EUR/USD	1.1480	1.15	1.16	1.16	1.18	1.19	1.20	1.22	1.22	1.22	1.22

Source: ING

Our new Fed call: One more hike

We had switched to expecting a September Fed rate hike in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, but characterised it as a likely one-off recalibration move akin to the single hike delivered by Alan Greenspan's Fed in 1997. However, the fact that only two FOMC members believe the central bank won't hike again this year suggests a broader hawkish repositioning has already occurred within the committee.

This has not been driven by economic data. The low-hire, low-fire labour market is keeping a lid on wage growth, which in turn should limit the scope for second-round price effects from higher energy costs. Meanwhile, tariff-related cost increases have largely worked through, with IEEPA tariff refunds providing a cash flow boost to corporate America. The largest component of inflation, shelter, is also looking less threatening, with the stagnant property market contributing to cooling housing rent metrics. We also remain sceptical of so-called "chipflation" given the small weighting within the inflation basket for impacted categories of goods and the

fact the US uses hedonic pricing, which incorporates quality improvements into price calculations.

Instead, it appears the Fed is increasingly focused on accelerating the pace at which inflation converges on the 2% target, fearing the protracted conflict in the Middle East will keep energy-impacted components elevated for longer and risk broader cost increases if left unchecked. We now expect this to mean at least one more rate rise.

In terms of timing, there are two more meetings this year. The first is 28 October, but we only have one round of jobs and inflation data between now and then; the proximity to the mid-term elections on 3 November could also prove a complicating factor. Unless the September jobs numbers and inflation data are very hot – which would leave little choice on a hike – we suspect the Fed would prefer to wait until 9 December.

Only 4 of 18 FOMC members anticipate the need for two hikes this year, but eight do expect a second hike next year. That is going to be contingent on the energy story. Our assumption of a Middle East de-escalation, improved energy flows, and lower prices over the next six months would likely mean an additional hike would not be needed – and as such, we forecast a peak of 4.25% followed by a prolonged pause.

Economic growth remains resilient, but the hefty upward moves at the long end of the yield curve will act as a brake on economic activity in an environment where real household disposable incomes have flatlined for 18 months. There are already signs of consumer stress in the form of low savings rates and rising credit card and auto loan delinquencies to levels last seen during the Global Financial Crisis. The lack of business capex growth outside of the tech sector also underscores the concentration risk within the US economy right now. As a result, we tentatively suggest we could start to see the Fed reversing course again from late 2027, particularly if energy prices are experiencing significant falls by then.

Our new ECB call: A December rate hike

Last week's ECB was not outright hawkish but more subdued and subtle hawkish. Christine Lagarde's downplaying of the concept of neutral interest rates can be seen as a way to prepare the grounds for further hikes. The fact that the staff projections see headline inflation only dropping below 2% in Q4 2027, while at the same time core inflation is expected to increase slightly were also hidden hawkish messages. At the same time, though, there are currently no signs of knock-on effects from higher energy prices. The risk is high that the ECB's own models are not fully capturing structural shifts and are overestimating the broadening of inflation in the economy.

Still, oil prices above 100 USD/bbl and the ECB still regretting its too late response to the inflation shock in 2022 are likely to push the ECB towards another rate hike before year-end. A hike that would still fall in the category 'insurance rate hike', with an increasing risk that

unwarranted damage to the economy could be done.

Looking beyond the next hike, we still think that market expectations of at least two more hikes in 2027 are overdone. It won't take a lot to undermine the picture of eurozone resilience. A picture that is too obvious also painted in the last ECB projections. GDP growth estimates of 0.3% to 0.4% quarter-on-quarter throughout 2027 and 2028 look highly optimistic. We wonder whether there shouldn't be more of an adverse effect on growth from higher oil prices and higher interest rates. Already next week's sentiment indicators (PMIs and Ifo) could change the picture of unbreakable resilience.

As long as there is only very limited spreading of the energy price shock to the rest of the economy, there is very little reason for the ECB to continue hiking next year. Every additional rate hike increases the risk of an unwarranted slowdown of the economy. If we are right and oil prices come down towards the end of this year and knock-effects from higher energy prices remain limited, we don't see additional rate hikes in 2027. If we are wrong, the story could clearly change.

Our Bank of England call: A hold in November (just)

We're sticking to our Bank of England call, which is that rates stay on hold into 2027. But this is entirely contingent on energy prices coming lower.

The Bank is still visibly reluctant to hike rates, partly because there's no sign of second-round effects, and partly because rates are more obviously restrictive than in other economies – particularly with the degree of tightening priced into financial markets.

But at its September meeting, the Bank made it abundantly clear that it's getting harder not to act. It has indicated that at current energy prices, inflation is likely to narrowly top 4% early next year, if only briefly. And the Bank has said previously that 4%+ inflation is statistically more likely to trigger a wider and more persistent price shock.

If that forecast is maintained at the November meeting because energy prices have failed to come down, then we would expect a BoE rate hike. In that scenario, we'd expect a follow-up hike in the spring.

That 4% inflation forecast is not inevitable. A lot of it rests on the uprating of the regulated energy price cap in January, which in turn depends on average natural gas prices over an 'observation window' between mid-August and mid-November. If nothing changes, we're looking at a 25% increase in energy bills at the start of 2027, but we're only a third of the way through that window. A fall in gas prices would temper that increase and therefore the overall peak in headline inflation.

Given our call for natural gas and oil prices to move lower through 4Q, we think our existing call for the Bank of England to keep rates on hold into 2027 is still valid for now. We are, however,

pushing back our forecast for the first rate cut to 3Q next year.

Rates: Direction to come from US Treasuries (10yr from sub-5% to 5.25% to 4.5%)

We've nudged higher anticipated end-year 10yr bond yield forecasts. It's a subtle move, but significant in the sense that it brings into play some key levels. In the US, the key number for the 10yr is now 5.1% at year-end, while for the eurozone we're in the 3.5% area for long-tenor rates. These levels are not wildly different from where we are now, but importantly, leave open the risk that some overshooting can occur in the intermediate period. That's a particular theme for the US 10yr where we've already closed above 5% twice in recent days. We're back below now, but we identify ongoing upside pressure for US long rates as a theme in the coming months. The eurozone has tended to share such moves, and will maintain a tendency to do so. Japanese long rates too should remain under pressure, and the same obtains for long-dated UK Gilts.

Front ends have been pricing in sequences of rate hikes for some time now, across all four major central banks. Specifically, so-called "carry spreads" (official rates to the 2yr) in the 75bp to 100bp range signalled market readiness for the delivery of a "few" hikes by central banks, without specificity on timing. This remains the case, with carry spreads of 65bp, 75bp, 90bp and 95bp for the ECB, Fed, BoE, and BoJ respectively. Think of neutrality at around 30bp, and anything above that as an implied market rate hike discount. The actual delivery of rate hikes is important, as it validates the prior evolution of carry spreads and, in turn, acts as a calming influence for long-end rates. We saw some of that play out as the Fed hiked by 25bp and intimated more. It helped calm long-end inflation expectations and take the US 10yr yield back below 5%.

However, even if inflation expectations have nudged lower, there are other pressures that long ends need to contend with. The first is issuance pressure, or more pertinently, the medium-term issuance narrative stemming from fiscal largesse; we can throw in long-duration hyperscaler issuance as a contributing factor, too. That's the "bad". Then there's the "ugly", in the guise of ongoing energy price pressure stemming from the Iran war. And there is the "good". Higher real rates have been an important driver, and a part of this likely incorporates AI-driven productivity growth. If that last bit was the central driver, we'd have little to worry about. But it's the other, more sinister factors that have predominantly sparked long-end market jitters. There's no doubt that central bank rate hikes help calm such jitters – but they do not make them disappear.

It took some time, but markets have finally developed a laser focus on deteriorating debt dynamics and medium-term financing concerns, particularly in the US. It's not impossible that we get through the coming months without another significant move higher in long-end yields. However, the balance of probabilities suggests there is at least one more leg of long-

end weakness still to play out. In an extreme scenario, this could take US 10-year yields into the 5.25% to 5.5% range. Other markets would likely move in tandem, mapping out similar, albeit less dramatic, blow-outs. Thereafter, we would expect a period of calm, particularly through 2027, as inflation ultimately heads lower. But first, we need to get through 2026.

FX: Short-term downside risk, but EUR/USD profile unchanged

EUR/USD currently has three primary drivers: short-term rate differentials, oil prices and global risk sentiment. Let's look at how these can change and impact the pair in the coming quarters based on our updated views.

1. **Short-term rates (neutral impact).** The EUR and USD swap rate curves look quite similar in their front-end segment – the most relevant one for the currency market. In both countries, rates are expected to be around 70-80bp above current levels at the end of 1H27. While we've revised our central bank calls higher, we remain firmly more dovish than those expectations. One hike each for the ECB and the Fed means similar dovish repricing in both curves in the next couple of quarters. The short-term rate impact on EUR/USD should therefore remain close to current levels into year-end and then gradually tighten throughout 2027. That implies an initially neutral and then gradually positive impact on EUR/USD.
2. **Oil prices (positive impact).** The premise of our dovish rate calls relative to the market is that oil prices will come lower and take the pressure off central banks. Our commodities team still targets an \$80/bbl average for 4Q26. While the oil-EUR/USD correlation can weaken in an energy price decline, it should support the pair on the margin.
3. **Risk sentiment (positive impact).** With the caveat that tech-related jitters can re-emerge at any time, the decline in short-term USD funding costs included in our forecast normally has a positive knock-on effect on FX liquidity and global market sentiment. Lower oil prices would also help in that direction. We expect a positive impact on EUR/USD in our baseline.

Taking all the above into account, we aren't changing our forecast for year-end in EUR/USD: 1.160 is fully in line with the scenario outlined for these drivers according to our calculations. However, risks are more skewed to the downside in the coming weeks.

We feel that the Fed's hawkishness has left EUR/USD more vulnerable, and 1.140 can certainly be tested, with risks extending to the 1.132 June lows if oil prices jump again and the Fed hikes rates in October. Looking at 2027, risks are also on the downside relative to our latest [forecasts](#), which included a move to 1.20 by year-end. That's due to the highest carry attached to USD after two more hikes. That said, if markets start to price in Fed cuts late next year, a broad-based dollar decline remains very possible.

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FX RATES UNITED STATES

Federal Reserve hikes 25bp, suggests another to come

The Federal Reserve raised the policy rate 25bp and signalled they may raise rates a second time before a long hold throughout 2027.

Nonetheless, we see more labour slack than the Fed and remain a little more optimistic on the inflation backdrop. If we see a resumption of energy flows from the Persian Gulf, the situation would favour a "one and done" outcome



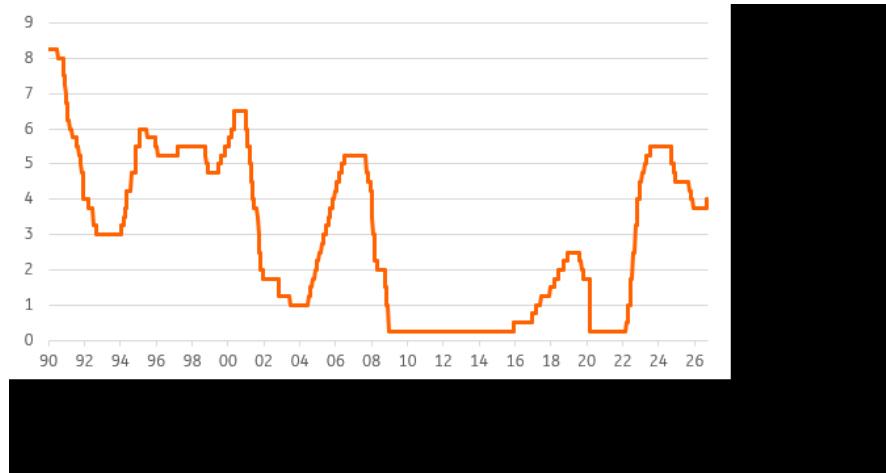
Fed Chair Warsh at today's press conference in which interest rates were raised by 25bp

Fed hike to "support a timelier return" of inflation to target

The Federal Reserve has hiked rates 25bp to a target range of 3.75–4%, as widely expected. Markets had moved to swiftly price such an outcome in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, with subsequent hotter-than-anticipated jobs and core inflation data merely making it a formality.

The decision was unanimous and the press release was brief, as it has been after all three decisions under Warsh's leadership. Economic activity is "solid", but uncertainty and inflation remain "elevated". Nonetheless, today's decisions will "support a timelier return to the Committee's 2 percent goal".

Fed funds ceiling rate (%)



Source: Macrobond, ING

Fed points to one more hike followed by a long hold

In terms of the guidance, the central projection within the Fed's summary of economic projections has one more rate hike this year, in line with market pricing, with the central range holding at 4.125% through 2027. They then have the mid-point of the Fed's funds target range at 3.875% for 2028 and 3.625% for end-2029 and 3.25% for the "longer run". This is a higher profile range than they projected in June, but is below the market pricing of three additional 25bp hikes.

Federal Reserve's economic projections

	2026	2027	2028	2029	Longer run
Change in real GDP (4Q YoY%)	2.3	2.4	2.2	2.1	2.0
Previous Fed projection (June)	2.2	2.3	2.2	-	2.0
Unemployment rate (% year end)	4.1	4.1	4.1	4.1	4.2
Previous Fed projection (June)	4.3	4.3	4.2	-	4.2
Core PCE inflation (4Q YoY%)	3.4	2.5	2.2	2.0	2.0
Previous Fed projection (June)	3.3	2.5	2.1	-	-
Federal funds rate (year end)	4.125	4.125	3.875	3.625	3.25
Previous Fed projection (June)	3.8	3.6	3.4	-	3.1

Source: Federal Reserve, ING

Within the actual dot plot there are only 18 submissions, suggesting Kevin Warsh again declined to offer a view. Only 2 of the 18 FOMC submissions had no further rate hike this year, suggesting strong backing for another move, and similarly, there are only 4 of 18 that expect to see any sort of rate cut next year. There are 8 of 18 expecting the policy rate mid-point to be 4.375% (2 additional hikes) by end-2027. So this is a more hawkish Fed than in June with them revising up inflation and growth and revising lower unemployment projections despite

the data trends suggesting it should be the other way round - in our view.

Indeed, our growth, inflation and jobs forecasts suggest little need for further rate hikes, and it may well be that the Fed are striking a hawkish line in order to build more credibility with bond markets as they look to support Treasury efforts to anchor the long end of the curve.

One and done remains our call

Ordinarily the assumption is that if the Fed hikes, they don't move just once, and indeed their forecast table does have a further hike pencilled in. However, this time around we think it may end up being a one-off. While August's jobs number was a healthy 162,000, between January 2025 and July 2026 the monthly average increase was a measly 31k with hiring indicators suggesting a reversion to that far slower growth rate is likely. Furthermore, while the unemployment rate is low at just 4.1%, the worker participation rate has plunged a full percentage point since early 2025. This suggests there is worker disengagement and more slack in the jobs market than looking at the unemployment rate alone indicates. It is hard to argue against that when wage growth is running at just 3%.

That weak wage growth will be helpful in keeping inflation in check and with the inflationary impulse from tariffs largely incorporated – and IEEPA tariff refunds being a cash flow boost – lower cost pressures here help mitigate higher energy and fuel costs. Furthermore, the shelter component, with a 35% weighting in the CPI basket, should continue to moderate given the stagnant property market and cooling private sector rents. The key uncertainty is energy and the lack of progress surrounding oil and gas flows from the Strait of Hormuz, which has meant headline disinflation has stalled. Nonetheless, our geopolitical assessment is that the situation will improve, and oil prices will resume their declines later in the year, which will rapidly improve the inflation backdrop.

Given market and consumer inflation expectations remain in check, we see parallels with the late 1990s – cuts in early 1996 before a pause, then a one-off 'risk management' hike enacted by Alan Greenspan's Fed in March 1997 before a long pause through late 1998.

The Fed calms the back end, but we'd not be getting too comfortable on it ahead

Ahead, we maintain a bearish stance on long rates despite the calmness post the decision, as a 25bp hike does not materially change the dynamics that have hampered long rates in recent months. Inflation remains high, as does the fiscal deficit, as is wider issuance. And the AI productivity-driven narrative remains in place. The odds see the 10yr yield breaking back above 5% in the days and weeks ahead. If so, the market will begin to settle at above 5%, and ponder the 5.25% to 5.5% range as an area that is perfectly attainable in light of the still quite loud mood music that has been driving long-end yields.

Delivery of the anticipated 25bp hike, by definition, should not have a material effect. The back end initially took the decision very fine, with yields steady in the 4.95% area, although it had shown a mild bias to test lower, as had been the theme through the morning into the decision. What helped here was the price action of previous days that saw the 10yr yield get above 5%, and indeed close above 5%, thus ticking off the need to necessarily have that reaction post this decision. Chair Warsh will be pleased that the breakout of the 10yr yield shows a moderate fall in inflation expectations, which telegraphs a nod of approval from the market to the hike as an inflation containment one. The 10yr real yield is a tad higher as an offset.

Also, the 30yr yield is a tad richer vs SOFR, although not by much. Even though the 30yr yield is still higher than it was before Treasury Secretary Bessent's buyback announcement, it's well below the subsequent highs. And it's clinging on to a 4bp richening versus SOFR compared with the pre-buyback announcement level. At the other end of the curve, the 2yr was a tad spooked by the unanimity shown by the committee on the hike (Chair Warsh voted for the hike too), and the implied priming for another hike from the dot plot. So, the 2yr yield is up 10bp to almost 4.7% post the decision. And the curve is flatter, mostly from the front end, and the 2/10yr Treasury yield curve is back below 30bp. The 5yr is flat on the 2/5/10yr fly though, suggesting that if there are more hikes, it should not be many.

Nothing of note on the plumbing, apart from noting ample bank reserves, suggesting a degree of comfort with balance sheet circumstances. Which is fair. We await the outcome of further deliberations in this space by the end of 2026, with the yet-to-come prescribed action to be taken from 2027.

FX: Hawkish hike reinforces dollar momentum

The Fed's message of policy discipline is likely to raise the bar for de-basement trades to re-emerge anytime soon. That should limit downside risks for the dollar, leaving it better placed to benefit from supportive external drivers. As long as energy prices remain firm, we see little reason to fade the current USD appreciation trend.

With the door still open to additional tightening, the dollar also retains upside risk around upcoming data releases. Strong prints could bring hike expectations forward to October, where markets currently price 11bp.

EUR/USD broke below 1.150 after the announcement, and there is little in the way of obvious support before the 1.1330-1.1360 area, where the June decline found a floor. That is likely the extent of near-term downside risk. Our forecast remains more optimistic, albeit heavily reliant on an improvement in the Gulf situation and rapid oil decline by year-end. We target 1.150 for end-September and a modest bump to 1.160 by year-end.

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Article | 10 September 2026

ECB remains focused on the here and now

At today's press conference, ECB President Christine Lagarde didn't give away any hints about what will be next for the central bank. Details of the ECB's staff projections, however, have left a hawkish aftertaste



Today's meeting left a slightly hawkish aftertaste, but we still struggle to envisage the ECB being willing to add more fuel to the fire

Lagarde's comments at today's press conference stressed that the ECB remains on high alert but also indirectly admitted it is in no better position than anyone else in financial markets; the only thing that's currently clear about the outlook (for monetary policy) is that nothing is clear. In other words, the outlook for the ECB's monetary policy remains highly dependent on both the external environment (mainly energy prices) as well as the pass-through of high energy prices into the rest of the economy.

Today's rate hike was a no-brainer

Even if the ECB doesn't like the term, today's rate hike decision – which brought the central bank's deposit rate to 2.5% – still falls into the category of an 'insurance' rate hike. Or, to put it in terms the Bank might prefer, it is a hike to stay ahead of the curve, demonstrating the ECB's high level of vigilance, and an attempt to prevent higher energy prices from feeding through to the broader economy.

While the stage was set for a rate hike, even under a more benign energy price outlook, the recent escalation in the Middle East and surge in oil prices have clearly strengthened the case for an increase. This is despite the fact that other inflation measures, like core and services, as well as survey-based inflation expectations, still suggest there are hardly any second-round effects from higher energy prices.

This picture is reflected mainly in the latest round of staff projections, which show inflation unchanged at 3% this year. For 2027 and 2028, the inflation forecast was revised upwards to 2.5% and 2.1%, respectively. Core inflation is expected to come in at 2.5%, 2.6% and 2.3% in 2026, 2027 and 2028, respectively. Growth was revised upwards slightly to 0.9% this year and 1.4% in 2027 (and 1.5% in 2028). Looking at the quarterly profile of the forecasts, inflation would only drop below 2% by the end of 2027. In the ECB's mild scenario, inflation would already be below 2% by the second quarter of 2027 – but in an adverse scenario, it would remain close to 3% by the end of 2028. Still, don't forget that the recent surge in bond yields and oil prices has not been fully incorporated into these forecasts.

Hawkish aftertaste

Considering the latest developments, today's rate hike wasn't controversial; it was almost a no-brainer. In light of higher actual and projected headline inflation, bringing the policy rate to the upper end of the range that the ECB itself calls 'neutral' did not pose any risk of being too activist or too restrictive. Even if Lagarde tried to downplay the concept of neutral interest rates during the press conference, at least as a guiding concept. In any case, the harm of doing nothing, at least for the ECB's credibility, is clearly more significant here. However, looking beyond today's hike paints a very different picture and is much more complicated.

Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. However, we have to admit that, looking at the ECB's staff projections, forecasting inflation above target for too long and the fact that these forecasts are based on interest rates pricing in between one and two more rate hikes, the risk of at least another rate hike is high. The counterargument to that view is that, with the highly volatile situation in energy markets, oil prices could also easily swing back in the other direction – which, in turn, would lead to significant changes in the ECB's inflation forecasts. In other words, if the situation in the Middle East were to ease before year-end and any indirect effects from higher energy prices remain absent, the need for the ECB to deliver additional rate hikes would disappear.

All in all, today's meeting left us with a slightly hawkish aftertaste. Even if we still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. In other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock. Admittedly, though, the ECB has made policy mistakes before.

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Article | 23 September 2026

COMMODITIES DAILY

The Commodities Feed: Brent drops below \$100

Oil prices continue to retreat as expectations of increased Saudi crude exports, progress in US-Iran talks, and a larger-than-expected rise in US crude inventories help ease supply concerns



Energy – Saudi pipeline restart weighs on oil prices

Oil prices fell sharply on Wednesday, with Brent dropping below \$99/bbl and WTI trading near \$89/bbl. The sell-off was driven by expectations of rising Saudi crude exports, diplomatic progress between the US and Iran, and a larger-than-expected build in US crude inventories, all of which helped ease concerns over Middle East supply disruptions. Brent has now declined for six consecutive sessions, its longest losing streak since August 2025, bringing cumulative losses to more than 9.5%.

Saudi Arabia has restarted operations at its East-West pipeline and could soon resume exports from the Yanbu terminal. The route, which bypasses the Strait of Hormuz, has a capacity of around 7m b/d and is expected to gradually restore lost export flows, potentially increasing global crude supplies in the coming weeks.

On the geopolitical front, President Donald Trump described recent discussions with Iranian officials as "very productive", raising hopes for further diplomatic progress and reducing fears

of prolonged supply disruptions in the region. Despite the recent correction, oil prices remain more than 60% higher year-to-date.

Additional pressure came from the latest API data, which showed US crude inventories rose by 1.7m barrels last week, compared with expectations of a 578k-barrel draw. Meanwhile, gasoline and distillate stocks each fell by 2.2m barrels. The market will now look to the EIA inventory report later today for confirmation.

US natural gas prices extended gains for a second session, with Henry Hub futures trading above \$3/MMBtu. Prices were supported by lower production in the Lower 48 and forecasts for cooler temperatures across the Northeast, which could boost heating demand. However, potential storm-related power outages may limit the increase in gas consumption.

Metals – Strong demand drives Chinese gold imports

Chinese gold imports rose 39.3% year-on-year to 141.7 tonnes in August, taking year-to-date imports to a record 1,141.2 tonnes, up 72.2%. Lower gold prices, a stronger yuan and persistent domestic price premiums encouraged inflows, while banks also drew on remaining import quotas under the licensing regime introduced by the People's Bank of China in June. Chinese gold ETFs added around 44 tonnes through August, an 18% increase from the start of the year, according to the Shanghai Gold Exchange, while global ETF holdings were broadly unchanged.

LME copper extended gains for a sixth consecutive session on Tuesday, its longest winning streak since May, before retreating slightly Wednesday morning, as tight physical market conditions in China continued to support prices. Falling inventories, holiday-related restocking and seasonal demand ahead of the Mid-Autumn Festival and National Day holidays boosted consumption. Shanghai copper cathode inventories fell by 14,700 tonnes to 43,900 tonnes, the lowest level since December 2023. While imported copper arrivals have increased, most material has flowed directly to fabricators rather than warehouses, keeping spot supplies tight.

Indonesia's Morowali Industrial Park (IMIP) has instructed nickel pig iron producers to curb output as El Niño-related drought conditions strain water supplies needed for processing operations. The cuts could affect around 100,000 tonnes of NPI production, compared with the park's annual capacity of roughly 4.2 million tonnes.

Investor positioning across base metals remained subdued. According to the latest COTR data, net bullish copper positions fell by 3,981 lots to 42,132 lots, the lowest level since late March and marking a sixth consecutive weekly decline despite higher prices. Aluminium net longs dropped by 11,623 lots to 77,423 lots, driven largely by long liquidation, while zinc net longs fell by 2,787 lots to 29,946 lots, extending their decline for a fourth straight week.

Agriculture – Ukraine completes wheat harvest

Ukraine's grain and legume harvest reached 33mt as of 22 September, up 10% year-on-year, with 7m hectares harvested, equivalent to 61% of the planned area. Wheat harvesting is now complete, with production rising 11% year-on-year to 25.3mt. Corn harvesting remains at an early stage, with output reaching 340kt from 68k hectares, compared with 389kt produced at the same point last year.

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Article | 23 September 2026

FX

FX Daily: Dollar resilience builds

The dollar has remained firm despite oil and global risk sentiment arguing for a correction. Hawkish Fed speak remains key, and this week underscores the risk that falling oil prices may offer little support to EUR/USD, as markets may be more willing to stick with Fed hike expectations than with the ECB's in an oil price decline. USD upside risks persist



Markets found little direction in Trump's UN address on Tuesday

➔ USD: Staying strong

The dollar continues to show very good resilience to lower energy prices and a risk-friendly environment. It's another sign that the Fed story is dominant, and the hawkish Fed speak is enough to keep USD in demand. Richmond Fed President Thomas Barkin, who becomes a voter in 2027, reinforced that message yesterday, arguing that a single rate hike may not be enough to bring inflation under control. He also noted that resilient labour market conditions should keep consumer spending supported, implying that a dovish shift among the hawks may require clearer signs of labour market softening.

But high-frequency jobs indicators have remained strong. Initial jobless claims are back below 200k and ADP reported a bump in weekly hiring to 20k at the start of September. Consensus is starting to build around a strong September payroll print – around 80-100k.

Geopolitics had a limited impact on FX yesterday. President Trump's UN speech generated few clear market signals, while constructive talks with Iranian delegates and the reopening of the Saudi East-West pipeline pushed Brent below \$100/bbl. Whether this evolves into a more sustained decline remains to be seen. From a rates perspective, oil floating around the \$90-100/bbl range is unlikely to force a dovish rethink in market expectations.

We'll be awaiting more headlines from New York ahead of tomorrow's Trump-Xi meeting. The Fedspeak agenda is quiet today, and the data calendar only includes S&P Global PMIs, which matter less for markets than the ISM surveys. We retain the view that the dollar faces upside risks over the next couple of weeks, when a revamp of data releases can prompt markets to add bets on an October hike. In that context, DXY reaching 101.0 remains a very achievable near-term target.

Francesco Pesole

➔ **EUR: Still downside risks**

EUR/USD is starting to look a tad cheap, as global equities support the pair's short-term fair value. Still, we see little technical justification for fading the current decline before 1.140-1.142, where EUR/USD would be breaching a 1.5 standard deviation misvaluation band, assuming rate differentials remain unchanged.

This week underscored another risk: when oil prices fall, markets may price out ECB tightening faster than Fed tightening. That was a major drag on EUR/USD in June, and any hint of a dovish rethink from ECB speakers could trigger a leg lower.

The next few weeks will determine whether either the ECB or the Fed goes for an October hike. While we still expect the next move from both central banks to come in December, any earlier tightening appears more likely to come from the Fed than the ECB. That leaves the balance of risks skewed to the downside for EUR/USD.

Eyes will be on PMIs today, which in the eurozone have greater monetary policy implications than elsewhere. Expectations are for a slight softening in the eurozone-wide composite gauge from 52.0 to 51.7. Let's see whether budget concerns in France and political developments in Germany have had any impact on sentiment. Meanwhile, the ECB speakers' calendar remains busy today.

Francesco Pesole

⬆ **HUF: A well-paused decision**

The National Bank of Hungary meeting [delivered](#) exactly what the market expected – a pause in the rate-cutting cycle and a reduction of the inflation target from 3.0% to 2.5%. From the market's perspective, this was a case of ticking boxes that had been anticipated since the April

general election. The market remained virtually unchanged in front-end rates following the NBH press conference, with pricing in less than one rate cut over the next 6-9 months, assuming a positive BUBOR spread over the NBH key rate. The curve has flattened significantly over the past two weeks, aligning with our earlier expectations outlined in our NBH preview.

Nevertheless, we see scope for further flattening, even though the curve is already deeply inverted. At the same time, the front end offers a buffer against a potential geopolitical escalation or a spike in energy prices. We believe the market would not hesitate to price in rate hikes at the front end of the curve if energy prices rise again and Hungarian inflation climbs in the coming months (NBH forecast of 3.1% average inflation for next year). Meanwhile, the long end still offers room for convergence trades, and long-term yields should grind lower.

The combination of a lowered inflation target and a halt to rate cuts creates a very positive environment for the FX market. On the other hand, the global backdrop remains largely negative, despite the recent relief rally. The US dollar is at record strength, EUR/HUF remains highly sensitive to energy prices, and Fed rate hikes could trigger renewed pressure on emerging market currencies, which have shown remarkable resilience so far. The overall picture is thus very mixed, and global factors could easily take the driver's seat. Although our bias remains bullish for the forint, and we could retest the 360 EUR/HUF level, further developments are heavily dependent on global factors at this moment.

Frantisek Taborsky

➔ CEE: FX stability masks diverging rate outlooks

The region is benefiting from improved global sentiment and lower energy prices, prompting markets to scale back expectations for aggressive rate hikes. Czech rates, the most hawkish in the region, price around 100bp of tightening, versus 85bp in Poland. Today's calendar is again light, with only August Polish labour market data due. Despite continued rates volatility, FX remains stable. In our view, opposing forces are broadly balancing out and keeping CEE currencies steady: a stronger US dollar is weighing on the region, while improved sentiment and lower energy prices have yet to offset its impact.

Local drivers remain limited this week, and fresh catalysts may take time to emerge. We expect a more hawkish CNB to push EUR/CZK lower again, but this is unlikely in the near term unless Friday's minutes strike a surprisingly hawkish tone. By contrast, we see further upside in EUR/PLN given the central bank's dovish stance. Potential government measures to cut petrol prices could complicate the outlook: if approved, they might allow the central bank to postpone rate hikes, while also weakening the interest-rate differential and putting downward pressure on the zloty.

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Article | 22 September 2026

RATES SPARK

Rates Spark: Asymmetric relationship between oil and rates

Markets are following a similar pattern as before, which means euro rates don't follow oil back down as quickly as they followed on the way up. This limits the downside potential we see for euro swap rates in the near term. Slowing growth could push back against hawkish pricing, but in our baseline we see eurozone economic resilience



With oil prices easing of late, euro rates have not followed back down as quickly

Asymmetric reaction to oil keeps rates higher

Oil prices have eased from the recent highs, but the short end of the euro curve sticks to a relatively hawkish outlook. The last time oil hovered around \$100, the 2Y swap rate was some 20bp lower. This is a familiar pattern, whereby up and down movements in oil have an asymmetric impact on rates. When oil prices hit new highs, the inflation impact leaves a lasting impact on inflation expectations, limiting the rate moves on the way down.

The asymmetric oil impact means the downside to euro rates could be limited over the near term. The European Central Bank keeps striking a hawkish tone, which supports the steep hiking profile. Also, the growth outlook remains robust, with eurozone PMIs mostly above 50 points. Having said that, we do anticipate some economic headwinds on the back of higher oil and gas prices. But given the resilience thus far since the start of the Iran war, our baseline remains for the economy to remain robust in 2026 and 2027.

A worsening growth outlook could, however, be a catalyst for a dovish repricing, but also not immediately. Even if we were to see disappointing PMI figures for the eurozone this week, the focus is on inflation. That doesn't mean we can just ignore growth dynamics. The big fear for central banks is that higher inflation materialises through accelerating wage growth. A weakening growth outlook would mitigate this risk. Having said that, the very positive sentiment – see almost record equities – will limit markets' sensitivity to one-off downside growth surprises.

Wednesday's events and market views

The highlight will be country PMIs. The eurozone composite index is expected to tick slightly lower, but remain well in positive territory at 51.7. Consensus also sees relatively strong UK and US PMIs, both well above 50.

In primary markets, Slovakia will syndicate a new 10Y SLOVGB for an estimated €2-3bn. Germany will auction 21Y and 30Y Bunds totalling €2bn. From the US, supply includes a 2Y FRN for \$28bn and a new 5Y Note for \$70bn.

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Article | 22 September 2026

FX

FX Daily: Hawkish Fed speak breaks oil-USD link

While oil prices declined and global equities rallied, the dollar had a strong start to the week. That's primarily thanks to hawkish comments from Federal Reserve officials Austan Goolsbee and Alberto Musalem, which prevented US front-end rates from following the global correction. EUR/USD still faces mostly downside risks in the near term



↑ **USD: Hawkish Fed speak supports dollar**

The dollar had a strong start to the week despite a decline in oil prices and strong risk sentiment. In our view, part of the move reflected a catch-up to levels seen before Friday's reported Bank of Japan rate check, which had damaged USD momentum across the board.

Hawkish Fed commentary was however the clearest driver. Chicago Fed President Austan Goolsbee warned that supply shocks, combined with strong spending and AI-related investment, could keep inflation persistent. He added that the path back to 2% inflation may not be painless. Although he is a non-voter in 2026, Goolsbee sits near the centre of the FOMC spectrum and is therefore viewed as a useful gauge of FOMC consensus.

Later in the day, St. Louis Fed President Alberto Musalem reinforced the hawkish message,

arguing that front-loaded gradual tightening is preferable and that policy remains accommodative. Musalem is seen as one of the more hawkish members and may be among the four officials who projected two additional hikes this year in the dot plot, although he is also a non-voter.

The comments supported front-end USD rates on a day when Brent briefly slipped below \$100/bbl, pulling other G10 rate expectations lower. Fedspeak will continue to have the potential to break the oil-USD relationship during periods of falling energy prices, as the Fed is viewed as being more fundamentally focused on inflation while other developed central banks are seen as more sensitive to oil price dynamics. Today, we'll hear from two dovish voices, John Williams and Philip Jefferson. Any hawkish comments from them could have a deeper impact. Tom Barkin (neutral, non-voter) will also deliver remarks.

Yesterday's price action has reinforced our view that near-term risks for the dollar remain skewed to the upside. DXY may be headed to 101.0 already before the end of the month. The data calendar remains light in the US, with only weekly ADP jobs figures and the Richmond Fed manufacturing index worth mentioning today. The UN General Assembly has started in New York, with President Trump delivering an address and expected to hold talks with Gulf states today.

Francesco Pesole

📉 EUR: Falling fair value

EUR/USD short-term fair value based on our 60-day model has dropped below 1.150 for the first time since late July. Interestingly, oil prices are showing a small beta, with equities and rate differentials the dominant drivers. The spread between the two-year SOFR and ESTR has widened to 150bp, also to levels last seen in July.

European Central Bank officials have so far maintained a notably hawkish tone, keeping an October hike firmly on the table. Even so, investors appear increasingly willing to embrace the opposite narrative, pointing to further near-term downside pressure on EUR/USD.

Our baseline, still, is that hawkish expectations are too aggressive on both sides of the Atlantic. We expect just one additional hike from both the ECB and the Fed this year, followed by no further tightening in 2027. That view supports our 1.160 year-end EUR/USD forecast. In the near term, however, the risks favour a retest of the 1.1320-1.1330 lows reached in June.

Today's focus is on a busy slate of ECB speakers, including ECB President Christine Lagarde. On the data side, the only notable release is the eurozone consumer confidence indicator for September. Meanwhile, the French 10-year spread over German bunds has hit the 100bp mark. The FX market is treating this with caution, but risks of further spread widening remain, and the EUR may start to pay greater attention soon.

Francesco Pesole

↓ **GBP: Holding pattern**

EUR/GBP has traded in a fairly tight range of 0.855-0.860 since the start of September. Last week's Bank of England meeting was not as hawkish as the ECB or the Fed, but equally failed to really push back against aggressive market pricing for tightening.

Markets are attaching a large probability of a BoE rate hike in November (c.75%) and a huge 92bp by June. Our economists' call is still for no rate increase, which results in a bearish GBP outlook as our baseline. Even if another oil price jump prompts a November move, it seems unlikely the BoE will match market expectations for further tightening, meaning some large dovish repricing should still occur at some point.

In the coming weeks, we'll hear more about the content of the UK October budget. The pound isn't embedding any fiscal risk premium for the moment. We still expect a move to 0.870 in EUR/GBP on the back of the central bank story.

Francesco Pesole

↑ **HUF: Hawkish NBH signals should support the forint**

The National Bank of Hungary is [expected to pause its current "mini" easing cycle](#), leaving the policy rate at 5.50%. It will also publish a new forecast and may review its inflation target, potentially outlining a two-step reduction from 3.0% to 2.0%.

Hungary remains the key CEE story, with by far the largest long positioning across asset classes, driven by the idiosyncratic post-election narrative and prospects for euro adoption. However, the recent surge in global energy prices has again highlighted Hungarian assets' high beta to global markets, reflecting both the economy's exposure to energy costs and crowded positioning. Rate expectations have consequently repriced sharply higher over the past two months, reinforced by reports that the NBH may pause rate cuts to strengthen the case for lowering its inflation target.

The front end now prices less than one full cut, a view that may be tested today. At the same time, we would not be surprised if the market started to price a small chance of rate hikes in the event that energy prices start rising again, as elsewhere in CEE, despite our forecast for cuts later this year. By contrast, a lower inflation target should support the long end, pointing to further flattening even though the curve is already inverted. The forint should also benefit from a more hawkish NBH: both a pause and a lower inflation target would signal tighter policy for longer and enhance the carry appeal. Still, the domestic story is having limited market impact, and a sustained rally in FX and fixed income is unlikely without some progress in the geopolitical situation.

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Article | 22 September 2026

FX HUNGARY

National Bank of Hungary review: A well-paused decision

The National Bank of Hungary is not simply doing nothing. Keeping rates unchanged is an active, considered decision, backed by an upwardly revised inflation outlook and a new inflation target from 2028. In our view, this well-judged pause does not necessarily mark the end of the easing cycle. We still see some chance of rate cuts within six months



The National Bank of Hungary kept the base rate at 5.50% and Governor Varga sounded hawkish at the press conference

5.50%

As expected

Key interest rate

Unchanged

ING's policy view: We see scope for further cuts in six months

The National Bank of Hungary held the base rate at 5.50% on 22 September, pressing the pause button after the 'mini rate cut cycle' throughout the summer.

Looking ahead, we believe that local politics will honour previous commitments regarding the euro adoption plan, particularly with regard to the medium-term fiscal trajectory, and that EU funds will arrive as expected during the fourth quarter. We expect inflation to remain low and stay below the central bank's inflation target (3%) for the rest of the year, although we anticipate some acceleration in the months ahead, mostly on fuel and services.

Against this backdrop, the biggest limiting factor for potential future interest rate cuts will be the risk environment. [Our base case](#) anticipates a limited stabilisation agreement covering the Strait of Hormuz, military de-escalation and possible sanctions relief following the US mid-term elections in November. This could result in a drop in energy prices towards the end of the year, paving the way for monetary easing in Hungary.

If the risk premium for Hungarian assets drops alongside a general improvement in risk sentiment, we see a chance for two or even three rate cuts in the next six months. We forecast the base rate to reach 5.25% by the end of 2026, with a further reduction to 4.25–4.50% expected by the end of 2027.

ING's market views

Today's NBH meeting delivered exactly what the market expected – a pause in the rate-cutting cycle and a reduction of the inflation target. From the market's perspective, this was a case of ticking boxes that had been anticipated since the April general election. The market remained virtually unchanged in front-end rates following the NBH press conference, with pricing in less than one rate cut over the next 6–9 months, assuming a positive BUBOR spread over the NBH key rate. The curve has flattened significantly over the past two weeks, aligning with our earlier expectations outlined in our NBH preview.

Nevertheless, we see scope for further flattening, even though the curve is already deeply inverted. At the same time, the front end offers a buffer against a potential geopolitical escalation or a spike in energy prices. We believe the market would not hesitate to price in rate hikes at the front end of the curve if energy prices rise again and Hungarian inflation climbs in the coming months (NBH forecast of 3.1% average inflation for next year). Meanwhile, the long end still offers room for convergence trades, and long-term yields should grind lower.

The combination of a lowered inflation target and a halt to rate cuts creates a very positive environment for the FX market. On the other hand, the global backdrop remains largely negative, despite the recent relief rally. The US dollar is at record strength, EUR/HUF remains highly sensitive to energy prices, and Federal Reserve rate hikes could trigger renewed pressure on emerging market currencies, which have shown remarkable resilience so far. The overall picture is thus very mixed, and global factors could easily take the driver's seat. Although our bias remains bullish for the forint, and we could retest the 360 EUR/HUF level, further developments are heavily dependent on global factors at this moment.

Our three takeaways from the presser

1. Overall, the tone of the rate-setting meeting and the following presentation can be considered as hawkish with some flexibility added with the data-driven mode. During the press conference, Governor Varga specifically said that this approach gives the Monetary Council the opportunity to cut or hold the rate based on incoming information.
2. The agenda was unusually – though expectedly – packed, with the Monetary Council adopting a new inflation target of 2.5% from 1 January 2028 to start paving the way for eurozone membership and bring Hungary into line with the best practices of regional and developed economies. However, this is not just for the sake of euro adoption; recent developments (foreign exchange stability, inflation expectations and actual inflation) are also making it possible. In line with best practice, the NBH will hold eight rather than twelve rate-setting meetings from 2027. This less frequent meeting cycle will allow for more robust decision-making, supported by more data, while the Monetary Council can still meet at any time if the situation warrants it.
3. Governor Varga once again emphasised the importance of FX market stability in reducing and anchoring inflation expectations. These expectations, as well as the perceived inflation by households, have shown further improvement in the third quarter of 2026. We believe that the central bank's implied objective is to maintain the EUR/HUF exchange rate within its most recent range, while reducing volatility, which could lead to a monetary easing in the foreseeable future.

Updated GDP and CPI forecasts of the NBH (% YoY)

	2026	2027	2028
Change in real GDP - Sept projection	1.8	2.9	2.8
Previous NBH projection	2.0	3.0	2.9
Change in consumer prices - Sept projection	1.8	3.1	2.5
Previous NBH projection	1.8	2.3	3.0

Source: NBH, ING

The updated GDP & CPI forecasts

The full macroeconomic assessment and outlook will be published alongside the September Inflation Report on 24 September. Based on the latest GDP and inflation forecasts, the NBH's updated outlook aligns with our expectations.

The unfavourable developments in agriculture have worsened the economic outlook, but the negative impact has been somewhat limited by stronger export activity in the

industrial sector. Against this backdrop, the central bank revised its GDP forecast downwards, which roughly matches our latest projections. Regarding inflation, the significant upward revision to the 2027 figure is mostly driven by the energy price shock but also sees some contribution from the recently announced excise duty hikes. However, we estimate that the latter is only having a 0.1ppt impact, with the rest being driven by energy prices. The 2028 inflation projection is in line with the new target.

Regarding alternative scenarios, the Monetary Council highlighted six, four of which were labelled as the most relevant. From both an economic activity and an inflation point of view, the risks are fully balanced, supporting the re-enabled data-driven approach.

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Article | 21 September 2026

RATES FRANCE

France's elusive €54bn fiscal fix

France's fiscal position is worse than expected, and the government has not yet presented a fully documented response. Debt will keep rising, while political fragmentation means that a credible long-term solution is unlikely to emerge soon



France's fiscal position continues to deteriorate and there appears to be no long-term solution

A much tougher starting point for 2027

France's fiscal outlook has deteriorated again. The government now expects the public deficit to reach 5.4% of GDP in 2026, up from the 4.6% objective set at the start of the budgetary process and the 5.1% recorded in 2025. Weaker activity plays an important role in the explanation. The government has cut its 2026 growth forecast from 1% to 0.5%, reducing tax revenues, while energy-related support measures and higher interest expenditure have increased public spending.

The starting point for the 2027 budget is even more challenging. According to the government, the deficit could reach 6.5% of GDP without new corrective measures, as ageing-related expenditure, indexed pensions and benefits, debt-servicing costs and other commitments continue to rise, while temporary tax measures expire or are reduced. The required adjustment has also increased substantially: debt-servicing costs alone are expected to rise by around €10bn in 2027. A growing share of any fiscal effort will therefore be needed to offset higher interest expenditure.

A €54bn ambition, but few details

Prime Minister Sébastien Lecornu has announced a budgetary effort of around €54bn to limit the deficit to 5% of GDP in 2027. However, this remains a political objective rather than an adopted or fully documented plan. The government has not explained in detail how the figure was calculated, although some measures are already known.

These include freezing central government expenditure in nominal terms outside defence, restraining local government spending, freezing the civil-service pay scale, limiting increases in some pensions and benefits, saving €2bn on sick leave and extending the temporary corporate tax surcharge at a lower rate. Net public expenditure is expected to rise by 0.7% in 2027, after 1.4% in 2026. Spending would therefore continue to increase, but its share of GDP would decline slightly from 57.1% to 56.9%, despite higher defence and debt-servicing costs.

The adjustment would also rely heavily on revenues. The tax-to-GDP ratio is expected to rise from 43.9% to 44.2%, despite the government's pledge of fiscal stability. No broad-based tax increase has been announced; income-tax brackets would remain indexed to inflation and the corporate surcharge would be reduced. The government expects €1bn from stronger action against fraud and plans to review some tax breaks, but it has not explained where the rest of the additional revenue would come from. The package therefore remains only partly documented.

The €54bn headline also carries a political message. It highlights to French MPs the cost of rejecting the budget or bringing down the government, while warning the next administration about the challenge it would inherit. But adoption is far from certain. Without a parliamentary majority, the government must either negotiate enough support or resort to Article 49.3, at the risk of a no-confidence motion. The 5% deficit target therefore remains an ambition rather than a secured outcome. What is beyond doubt is that France faces a very substantial fiscal adjustment.

Debt is still moving in the wrong direction

This deterioration comes amid an already high debt burden. Public debt reached €3.54tr, or 117.5% of GDP, in the first quarter of 2026, up from 115.7% at the end of 2025. The government expects it to rise further, to 119.3% in 2026 and 121.7% in 2027. Even if the deficit falls to 5% next year, the budget would only slow the deterioration, not stabilise the debt ratio.

This leaves France increasingly exposed to higher refinancing costs. The implicit interest rate on public debt has risen from 1.25% in 2020 to around 2% in 2025. The European Commission's May forecast put it at 2.3% in 2026 and 2.43% in 2027, but the subsequent increase in market yields suggests that the eventual cost could be higher. With average debt maturity at around eight-and-a-half years, the pass-through will be gradual but persistent.

France is drifting further from its European commitments

The new targets represent a substantial departure from France's European commitments. Under the previous fiscal path, the deficit was expected to fall to 4.6% of GDP in 2026, 4.1% in 2027 and 3.4% in 2028, before moving below the EU's 3% threshold in 2029. The new figures for 2026 and 2027 are respectively 0.8 and 0.9 percentage points higher. A deficit of 5% in 2027 would leave France with more than two percentage points of adjustment to deliver in just two years to return below 3% in 2029. Such an adjustment appears highly unlikely, meaning that the commitment no longer looks credible.

A lasting solution will have to wait

France is no longer dealing only with a cyclical budget miss. Lower growth has worsened the near-term figures, but structural spending pressures and a rising interest bill are also widening the deficit. Even if the full €54bn effort is delivered, the deficit would remain far above the European threshold and insufficient to stabilise the debt ratio.

A credible multi-year consolidation plan is unlikely to emerge soon. The presidential election will take place on 18 April and 2 May 2027 and is likely to be followed by parliamentary elections, but there is a high risk that no clear majority will emerge. In that case, even an administration committed to stabilising the debt would struggle to approve and implement the necessary measures.

A different risk is that the next administration may simply choose not to prioritise fiscal consolidation, as some candidates are focusing more on new spending or reallocating expenditure than on reducing the deficit. France's ability to address its debt problem will therefore depend both on the next government's fiscal priorities and on whether it can secure sufficient parliamentary support to implement them.

Charlotte de Montpellier

Bond spreads will remain under widening pressure for now

The widening dynamic of French government bond spreads versus Germany accelerated last week after the government's budget plans again highlighted the magnitude of the problem and the difficult political path ahead. The widely watched 10y benchmark spread topped 100bp, reaching highs not seen since 2012.

On Friday, the rating agency DBRS lowered the outlook on its AA rating for France to negative. The agency Scope downgraded France to A+/Stable and cited the deteriorating fiscal outlook. Moody's, with its rating still at Aa3/Negative, is due to review on 23 October and could be next to lower its rating. One can, of course, view this as catching up with Fitch and S&P, both of which already have France at A+. The stable outlooks for these single-A ratings can also

argue for some reprieve. But the latest actions highlight that patience might be wearing thin after political turmoil that has basically been ongoing since the summer of 2024.

Arguably, a lot of the political and fiscal risk is already priced into the spread. 10y French bonds yield more than 10bp above their Italian counterpart, with debt metrics worse than France, lower ratings but arguably a less uncertain political landscape and a more domestic investor base that is deemed less volatile. Foregone carry also means positioning against France is also a costly affair.

But timelines don't play in favour of French government bonds – the 2027 budget now, the presidential election early next year, likely followed by parliamentary elections and then government formation. That means the positives for spread dynamics will likely have to come from somewhere else. Spreads have shown a greater correlation with oil prices as a gauge of geopolitical tensions. While we still eye an easing of tensions after the US mid-term elections, the Middle East conflict has already dragged on for longer than hoped.

One important backstop to the spread dynamics is the ECB and its Transmission Protection Mechanism (TPI). On paper, the conditionality of deploying TPI looks very strict, but we would argue the ECB has a lot of discretion when the broader market functioning is deemed at risk. However, the hurdle for the ECB to engage in bond purchases might be higher in the current situation where the central bank is focused on inflation and eyeing further tightening.

For now, we are looking at the widest spreads since the sovereign debt crisis of 2011/2013. French 10y spreads over German Bunds peaked just below 190bp back then, and it eventually took Draghi's famous "whatever it takes" in summer 2012 to turn the tide for good. We do not think we will head that far as the ECB precedent has been set. But without any positive developments in the Middle East and/or more encouraging headlines out of the political arena, the 10y spread could occupy a range of 100 to 125bp in the coming months.

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Article | 23 September 2026

THE NETHERLANDS

Dutch staffing industry set to be reshaped by labour shortages and regulation

The Dutch flexible labour market is slowly improving, although a broad-based recovery has yet to emerge. Growth is concentrated among smaller, niche players while larger agencies continue to struggle. Labour shortages, stricter regulation, and technological change are forcing temporary employment agencies to rethink their business model



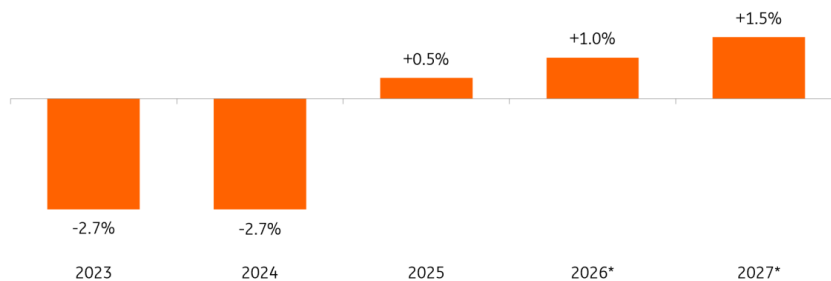
Structural labour shortages, stricter regulation, technological change and ongoing margin pressure are forcing staffing firms in the Netherlands to rethink their traditional business model

Modest growth in 2026

The outlook for the Dutch flex sector, which includes temporary staffing, secondment and recruitment agencies, is moderately positive. As economic growth gradually gains traction, businesses are creating more room for investment, supporting a slow recovery in demand for flexible labour. ING Research expects the number of hours worked in the sector to increase by 1% in 2026, followed by a further recovery in 2027 with growth of 1.5%.

Slight growth in demand for flexible workers in 2026 and 2027

Volume growth in the flexible employment sector in the Netherlands, year-on-year



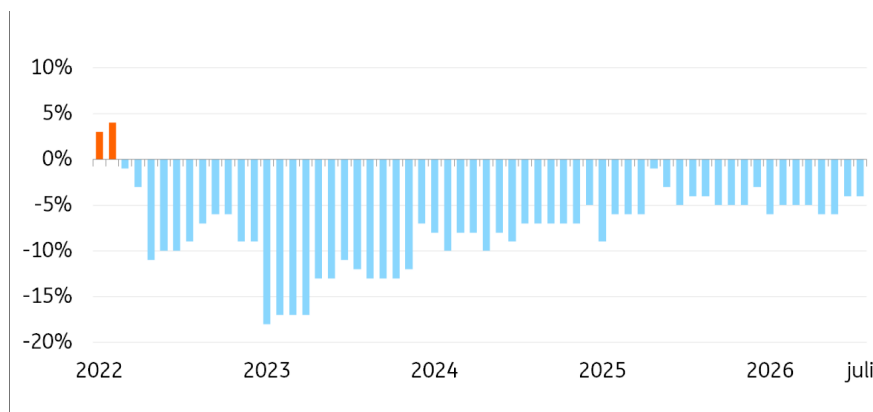
Source: CBS, *forecasts 2026 and 2027 ING Research

Market conditions remain challenging

Despite the fact that the sector seems to be cautiously finding its way up, market conditions remain challenging. After two years of contraction, hours worked increased by just 0.5% last year. The recovery also remains uneven; growth is concentrated among smaller and specialised staffing firms, while larger temporary employment agencies continue to face declining volumes. Among agencies affiliated with the industry association ABU, hours worked have fallen continuously since March 2022. Although the contraction has become less pronounced since early 2025, a meaningful recovery remains elusive.

The decline in temporary employment hours continued into 1H26

Temporary employment hours of large temporary employment agencies in the Netherlands affiliated with the industry association ABU, year-on-year



Source: ABU, ING Research

New collective labour agreement makes temporary workers more expensive

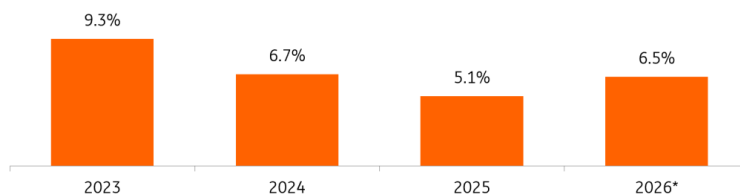
The new collective labour agreement, introduced at the start of this year, has significantly increased the cost of hiring temporary workers and marks a major overhaul of the Dutch staffing industry. Under the new rules, temporary workers are entitled to employment conditions that are at least equivalent to those of employees in comparable roles at the client company. In addition, pension accrual now starts from day one, rather than after one year of employment. As a result, the cost of hiring temporary staff has risen sharply, particularly for short-term assignments such as covering sickness absence or meeting peak demand.

6.5% higher rates in 2026

To offset rising costs, the staffing industry is expected to raise rates by an average of 6.5% in 2026. However, higher rates do not fully compensate for rising expenses. Long-term contracts with fixed pricing often limit firms' ability to pass on cost increases to clients. At the same time, growing investments in IT, digitalisation and compliance continue to weigh on profitability. As a result, margins remain under pressure despite rising rates.

Significantly higher rates in the flexible employment sector in 2026 due to stricter regulation

Selling prices in the flexible employment sector, year-on-year



Source: CBS, *forecasts 2026 ING Research

Mandatory certification to accelerate market shake-up

The regulatory burden on flex companies is set to increase further in the coming years. Following the renewed enforcement against false self-employment and the introduction of a new collective labour agreement, the Temporary Employment Agencies Admission Act (Wtta) will come into force on 1 January 2027. Designed to tackle malpractice in the sector, the legislation introduces mandatory certification for businesses that supply temporary workers. To qualify, firms must demonstrate compliance with labour and tax regulations and provide a 100,000 euro financial guarantee.

The new requirements are expected to drive further consolidation in the staffing industry by increasing compliance costs and administrative burdens. Smaller temporary employment agencies, in particular, often lack the scale and financial resources needed to meet the stricter standards, making acquisition by larger players an increasingly likely outcome.

Strategic repositioning necessary

Structural labour shortages, stricter regulation, technological change and ongoing margin pressure are forcing staffing firms to rethink their traditional business model. The focus is shifting from volume-driven to value-driven growth. While success in the past was often based on scale, flexibility and price, technology, expertise and sector specialisation are becoming increasingly important competitive advantages. Investments in digitalisation and AI can improve efficiency and productivity, while expanding into HR services, training and career development creates new growth opportunities.

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